

whereas the finished products have lower duties. Say Luggage Fabric i.e. Coated Fabric is taxed at 20% whereas finished bags & luggage are taxed at 15% only. We should make our import duty rates simpler wherein each industry will enjoy some protection so that the Industry can flourish. Say Basic Raw materials at 5%, intermediary at 10%, further intermediary at 15% and finished goods 20 or 25%. Here all polymers are at 7.50% except Nylon & PET chips & hence all Granules should be at 5% only. MMF Yarn should have minimum 10-15% import duty so that China has to pay the price if they are dumping cheap. Coated Fabrics which is raw material for Bags & luggage industry should be 15% and finished bags & luggage should be 20-25% import duty.

You just mentioned import duty on Granules, MMF Yarn, Fabric only. Do you find any other irrationality you would like to mention?

Yes I would like to draw your attention to Solar Panels import duty of 44% which is very harmful for the nation. Solar Panels are capital goods (like machinery) which will generate sustainable Electricity for 25-30 years and we will save a lot of Foreign Exchange and we will be less dependent on Coal power. So Coal imports will dwindle and the environment will be saved as well. Capital goods are imported only once and normally import duty on them should be negligible. With such high import duty on Solar Panels entrepreneurs will be discouraged to invest in renewable energy. On the flip side the import duty on Coal imported from Australia is 0% duty which will fail to generate any revenue for govt. & hence entrepreneurs will not be encouraged to switch to renewable energy.

What do you have to say about Free Trade Agreements (FTA)?

We keep on signing FTA without knowing its full impact, recently I visited the Raymond retail outlet and was surprised to know that most of the garment on sale are Made in Bangladesh. Why? Because we have an existing FTA with Bangladesh. If someone was making those garments in India, its raw materials and plant & machinery are heavily taxed and Import from FTA country enjoy no import duty. So how can Indian manufacturers compete in this situation? I would like to give one more example. I am making Nylon Yarn and I want to make Nylon Chips in India. But because of the FTA with Korea, the manufacturing cost can't be covered. CPL which is raw

material of Nylon Chips is prices at USD 1850/mt and Nylon Chips are USD 2100/mt in the international market. This means the value addition will be USD 250/mt. But when I make in India, on CPL I will have to pay import duty of 5.5% which means USD 101.75/mt making my landed CPL cost USD 1951.75/mt. And Nylon Chips come from Korea Duty free at USD 2100/mt which means I will get value addition of USD 148.25/mt only, whereas Korean maker is getting USD 250/mt. So, setting up a plant in Korea will be more feasible than in India. For your information, Korea has no capacity to export CPL, so I will have to buy from China or some other country & must pay import duty on CPL.

From our discussion I can feel that you know a lot about Indian Tax Laws and are doing good service to our govt. by bringing these points to the forefront so that these can be rectified and Indian economy can grow exponentially. Do you have any other point to say?

I always say that Healthy competition makes innovative, creative, sincere, hardworking and monopoly makes us lethargic & all opposite. Our tax laws should be rational so that everyone can grow and merit can flourish. Tax laws should be framed keeping every entrepreneur big and small in mind and not just super-rich only as because of these irrational tax laws the gap between the Rich & the Poor is highest in India. Since I am based in Taiwan from 1986, I know much about Taiwan, Korea, China and how they have grown immensely in last 37 years and the question that bother me is why we are still far behind in productivity when our IQ is far better. These irrational tax laws are a major hurdle in India's growth.

Your view on Indian Tax System?

In India, businessmen are perceived as tax evaders and corrupt bureaucrats are believed to be earning revenue for country, which is farther from truth. If our tax laws are simple and tax rates are applied rationally, then there will be full compliance and fewer disputes. The Govt. must trust the entrepreneurs and bureaucrats should not have absolute power. Prevention of corruption act amended where Bribe giver is imprisoned immediately and to imprison a bribe taker i.e. a corrupt bureaucrat requires permission from his seniors. His senior bureaucrat will never give permission as his junior is making money for him also. Businessmen can't afford delays neither they can afford piling additional costs as our legal system is too slow and there business can be ruined by not paying the demanded bribe. If officers are held accountable for the delay and the

harassments they inflict then everything will work smoothly. Today, Bureaucrats are not held accountable for the delay and the harassments they wreak as their excuse is simple; they do so in the interest of revenue. If govt. wants our country to progress, then they have to make bureaucrats answerable and fine them or fired for delays and the aggravation caused. Make Judges responsible as well and if their decisions are reversed by a higher court or a higher bench then those cases should impact their carrier. Also there should be a time limit for each & every case.

Mr. Kaushik, In exports we are far behind China, do you have any suggestion for increasing our exports.

We keep on changing policies/export import duties very often which harms our exports. For example one day we impose export duty on Steel and after 3 months we realize exports are falling and remove the export duty. Do you think those buyer who already switched to other countries will come back to us. Also one day we impose higher import duty on Palm Oil and after few month we reduced it to zero. In nutshell our import export duties have to be rational. Our exporter have to win the confidence of world buyers that they are reliable source and govt. of India policies are stable so they will enjoy doing business with us and our exports will grow regularly.

Dear Mr. Kaushik tell us how we can make India a 5 trillion economy?

Rational tax laws, healthy competition, no tax terrorism, responsible bureaucrats, ease of doing business and creation of an environment of Investment where entrepreneurs are respected and no crony capitalism is allowed to thrive. Do you know India exports millions of tons of Iron Ore and importing steel from country like Japan where labour costs are too high. Also India exports millions of ton of Naphtha and imports million of tons of Polymers and other naphtha-made products. Why can't we bring value addition here in India? Do we lack talent? Absolutely not!

We are not allowed to conduct business fairly. There are so many existing incentives and taxes which are useless. We don't need any incentives. These are tools of manipulation, protection and so on. I invested in Nylon Yarn plant and I want to save power cost and want to invest in Solar & wind power but because of State Govt. policies I can't invest in renewable energy for more than 45% of connected load. Why? I have no answer to this.